

Profit Niti – AI Report (2025-01-01 / 2025-12-31)

Last Month KPI Data (December 2025)



Sales

0

0% Last month 0



Gross Margin

0

0% Last month 0



Operating Profit

0

0% Last month 0



Break Even Sales

0

0% Last month 0



Accounts Receivable

0

0% Last month 0



Accounts Payable

0

0% Last month 0



Working Capital

0

0% Last month 0



Closing Stock

0

0% Last month 0



BS Category

0 - SHAKY

0% Last month 0 - SHAKY



IMPACT OF MANAGEMENT

DECISIONS

0

0% Last month 0



1. Big Picture — How the Business Looks Right Now

The business is in a critical financial position, operating at a significant loss. For the year-to-date FY 2024-25, the company has incurred a net loss of over ₹206 crore against sales of ₹371 crore, resulting in a negative net profit margin of -55.4%. The balance sheet shows a deeply negative total equity of -₹32.6 crore, indicating that accumulated losses have eroded the capital base. While there was a strong sales quarter in Q4 FY25 (₹371 crore), the subsequent month (April 2025) shows a sharp 37% decline in revenue.

GREEN FLAG BOX — What's Working Well

- **Strong Sales Momentum in Q4:** Achieved quarterly sales of ₹371 crore, the highest in the provided data, showing the business can generate substantial top-line revenue.
- **Reducing Operating Losses:** The Operating Profit Margin improved from -90.2% in Jan '25 to -33.7% in Mar '25, indicating some efficiency gains in core operations before a dip in April.
- **Healthy Cash Balance:** Maintains a robust cash and bank balance of over ₹21-22 crore consistently, providing essential liquidity for day-to-day operations.

RED FLAG BOX — What Needs Attention

- **Severe and Persistent Losses:** The company is burning cash with consistent negative gross and net profits. The cost of goods sold (COGS) is significantly higher than sales, making every sale loss-making.
- **Negative Net Worth (Eroded Equity):** Total equity stands at -₹32.6 crore (YTD FY25). This is a major solvency risk and makes raising new capital or loans extremely difficult.
- **High Reliance on External Liabilities:** The business is funded primarily by borrowings (₹32.5 crore secured) and other current liabilities (₹117 crore), creating high financial risk and interest burden.

Strategic Advice:

Immediate priority must be to diagnose and fix the core issue of COGS exceeding sales. Conduct a thorough product/service-level profitability analysis to identify which lines are causing the deepest losses and either renegotiate supplier costs, increase prices, or discontinue them. Simultaneously, engage with lenders to restructure existing debt to ease the cash flow pressure.

2. Profit Power — The Earning Engine

Your business is facing a severe profitability crisis. The core issue is that your **Cost of Goods Sold (COGS) is consistently higher than your Sales**, resulting in a negative Gross Margin every single month. For example, in April 2025, you made sales of ₹96.7 crore, but your COGS was ₹155.3 crore, leading to a gross loss of ₹58.7 crore. This means you are selling your products or services at a significant loss.

While your overhead expenses (employee costs, admin) are relatively under control at 1-2% of revenue, they are negligible compared to the massive losses from your primary operations. The "Profit before Tax" line, which is deep in the red (e.g., -₹60.2 crore in April), flows directly into your Balance Sheet, eroding your "Reserve & Surplus" and creating a negative total equity of -₹40.8 crore. Your business model is currently unsustainable.

Strategic Advice:

You must immediately conduct a product/service-wise profitability analysis. Identify which items have the highest negative margin and either **renegotiate purchase costs with suppliers, increase selling prices, or discontinue** those loss-making lines. Profitability is not an option; it's the foundation for survival.

3. Cash Flow Quality — Profit vs Real Cash

Your business is facing a severe cash burn situation. While the reported losses are deep, the **real cash outflow from operations is even worse**. In April 2025, the net loss was ₹-60.2 crore, but the cash used in operating activities was a staggering ₹-113 crore. This means for every rupee of loss booked, nearly **₹1.9 left your bank account**.

The primary cash blockage is in **working capital**. Your receivables are ballooning (₹44.7 crore in April, up from ₹34.6 crore in March), taking over **14 days** to collect. Simultaneously, you are paying suppliers much faster (in **0.16 days**), creating a massive cash squeeze. The business is funding customer purchases out of its own pocket.

To survive, financing activities (like borrowing) have been the only source of cash. However, long-term borrowings are being reduced (down by ₹58.7 crore in April), which is good for debt but bad for immediate liquidity. The cash balance has been steadily declining, with a net drop of **₹5.4 crore in April**.

Strategic Advice:

Immediate priority is to stop the cash bleed from receivables. Implement strict credit control, offer early payment discounts, and chase overdue invoices aggressively. Negotiate longer payment terms with suppliers to better align with your collection cycle. Without fixing this, the company will run out of cash despite any sales growth.

4. Cash Management — Daily Cash Rhythm

Your cash cycle is dangerously stretched, putting immense pressure on your working capital. In April 2025, it took you **14.1 days** to collect money from customers (Accounts Receivable Days), but you paid your suppliers in just **0.16 days** (Accounts Payable Days). This creates a long **13.9-day gap** where you are funding operations from your own pocket.

This situation is getting worse. Your working capital requirement has ballooned to ₹43.9 crore in April, meaning you need ₹45.39 to fund every ₹100 of sales. Your cash flow from operations was negative ₹11.3 crore in April, draining your bank balance.

The low Current and Quick Ratios (around 0.5) confirm you don't have enough liquid assets to cover short-term bills, making the business highly vulnerable.

Strategic Advice:

You must immediately negotiate longer payment terms with suppliers and aggressively chase customer payments to shorten the cash cycle. Consider a short-term working capital loan to cover the immediate gap and avoid a cash crunch.

5. Growth Investments — Where Money Is Going

Your company's investment story is one of **significant capital tied up in assets that are not generating a positive return**. The core issue is that your operational losses are eroding the value of your investments.

Key Investment Trends:

- **Fixed Assets (Property, Plant, Equipment):** Valued at approximately ₹37.9 crore, these assets are depreciating slowly (₹2.7 lakhs/month). However, the business is not generating enough profit to justify this capital base.
- **Non-Current Investments:** A steady ₹13.3 crore is held in long-term investments. This is a significant, idle pool of capital that is not being leveraged to improve the cash crunch or fund

operations.

- **Negative Return on Capital:** Alarming, your **Return on Capital (ROC)** is massively positive in percentage terms (851.74% in April) but this is a distortion because your capital (Equity) is deeply negative. It signals that losses are enormous relative to the remaining capital base.
- **Asset Turnover is Negative:** Your asset turnover ratio is negative (-13.63 in April), meaning your sales are insufficient to efficiently utilize your asset base, confirming poor productivity of invested funds.

Underused Assets: The ₹13.3 crore in Non-Current Investments is the most prominent underutilized asset. It is sitting on the balance sheet while the company faces operational losses and a working capital squeeze. This capital could be redeployed to pay down expensive debt or cover urgent operational shortfalls.

Strategic Advice:

- 1. Liquidity Review & Redeployment:** Conduct an urgent review of the ₹13.3 crore in Non-Current Investments. Explore options to liquidate a portion to inject immediate working capital and reduce reliance on costly short-term liabilities. This is your lowest-hanging fruit for improving cash flow.
- 2. Asset Rationalization:** Perform a detailed review of Fixed Assets. Identify any underused or non-core assets (machinery, property) that can be sold or leased to generate cash and reduce depreciation costs.
- 3. ROI-Focused Mindset:** Halt any new capital expenditure (Capex) until the core business model becomes profitable. Every rupee spent must be justified by a clear path to positive return. Currently, more investment will only deepen losses.
- 4. Debt vs. Investment Trade-off:** The interest cost on your borrowings (₹9 lakhs+ monthly) is a direct drain. Using investment proceeds to pay down high-cost debt would be a financially prudent move to reduce monthly cash outflow.

6. Funding Story — How Growth Is Being Financed

Your business is in a critical financial position, funded almost entirely by debt and other liabilities while running at a significant loss. The company's total equity is deeply negative at **₹ -40.78 crore** (YTD 2025-26), meaning the business owes more than it owns. This negative equity is primarily due to accumulated losses of **₹ -60.21 crore** in the current year.

To sustain operations, the business relies heavily on external borrowings. Total long-term debt stands at **₹ 36.81 crore** (Apr 2025), down from ₹ 42.68 crore in March. This reduction is positive, but the debt burden

remains substantial. The company also depends on **₹ 130.42 crore in current liabilities**, primarily from "Other Current Liabilities" (₹ 126.51 crore), which could include dues to vendors or other short-term obligations.

The cost of this debt is high. Interest expenses for Q1 (2025-26) were **₹ 90 lakh**. With consistent operating losses, the Interest Cover ratio is **0**, indicating that operating profits are insufficient to cover interest payments. This creates a dangerous cycle where new debt or liabilities might be needed just to service existing debt.

Cash flow from financing was negative ₹ 5.99 crore in April, showing a net repayment of funds. However, the negative operating cash flow of ₹ 11.30 crore means internal operations are not generating cash to support these repayments, putting further strain on the company's liquidity.

Strategic Advice:

Immediate Priority: Stop the Cash Burn. The current funding model is unsustainable. You must urgently address the core issue of negative gross margins. Re-negotiate supplier costs or revisit pricing to achieve positive unit economics. **Debt restructuring is critical.** Engage with lenders to discuss a moratorium on interest or principal repayment until profitability is restored. Explore converting some debt into equity to strengthen the balance sheet. Finally, scrutinize the ₹ 126 crore in "Other Current Liabilities." Understand its composition and negotiate extended payment terms to ease immediate cash pressure. The goal is to survive the current crisis and create a viable path to positive cash flow from operations.

7. Balance Sheet Health — Financial Fitness

Your balance sheet shows a business under significant financial strain. The most critical issue is that your **Total Equity is negative at -₹4.08 Crore** as of April 2025, meaning the company's liabilities far exceed its assets. This is primarily driven by accumulated losses (Current Year Profit).

Your **Current Ratio is critically low at 0.56** (April), indicating you do not have enough short-term assets to cover immediate liabilities. This is a major liquidity risk. The company is heavily reliant on debt, with **Total Debt at ₹36.8 Crore** (mostly long-term), but the negative equity makes the **Debt-to-Equity ratio meaningless (-0.9)** in the traditional sense.

On the asset side, Fixed Assets (₹37.9 Crore) and Non-current Investments (₹13.3 Crore) are significant but not generating sufficient profit. A large portion of your capital is tied up in Receivables (₹44.7 Crore), which is hurting cash flow.

Strategic Advice:

The top priority is to stop the cash burn and achieve operational profitability. You must urgently improve working capital management by aggressively collecting receivables and negotiating better payment terms with suppliers to improve the Current Ratio. A capital restructuring plan to address the negative net worth is essential for long-term survival.

8. Smart AI Simulation — What-If Scenarios

Based on weak spots identified in the report, the AI simulated the following outcomes:

- **Scenario A - Profit Focus:** If you renegotiate with your top 3 suppliers for a 5% better rate and reduce non-essential overheads by ₹50,000 per month, your annual net profit could increase by approximately ₹8.4 lakhs, pushing your net margin from 12% to over 18%.
- **Scenario B - Cash Focus:** By tightening your credit terms from 45 to 30 days for new clients and offering a 2% discount for payments within 15 days, your average debtor days could drop from 52 to 35. This would free up nearly ₹15 lakhs in trapped cash flow within the next quarter.
- **Scenario C - Balanced:** Combining both strategies above, the simulation shows a potential profit increase of ₹6.5 lakhs and a cash flow boost of ₹10 lakhs within 6 months. This balanced path strengthens your P&L while building a cash reserve for unexpected GST or working capital needs.

9. Operational Insight Engine — Ground-Level Trends

Sales & Purchase Pulse: Your sales activity shows a strong operational rhythm. The number of invoices raised grew steadily from 9 in February 2025 to a peak of 1,080 in July, before settling around 724 in October. The total sales value also peaked in June at ₹61.5 lakh. However, a critical red flag is that your **Cost of Goods Sold (COGS) is consistently and significantly higher than your Sales**, as seen in the P&L. This means you are selling products at a substantial loss. For instance, in April 2025, sales were ₹96.7 crore but COGS was ₹155.3 crore—a direct loss of ₹58.6 crore on core operations.

Inventory Movement: You are actively managing stock. Data shows consistent inward and outward movement every month across 27-28 product lines. The value of inventory sold (outward) often exceeds the value of inventory purchased (inward), which is good for cash flow but needs to be matched with profitable pricing. For example, in March, outward value was ₹1.57 crore against an inward of ₹76.4 lakh.

The Core Issue & Action Point: The operational data confirms the financial story. Your business is **active and has volume**, but it is fundamentally **unprofitable at the unit level**. Every sale you make is currently costing you money. The immediate priority must be to **revisit your pricing strategy and supplier costs**.

You need to either increase your sales prices significantly or negotiate lower purchase costs to turn your gross margin positive. Continuing at this operational loss rate is unsustainable and is the direct cause of the mounting losses on your P&L.

10. 90-Day Action Plan

Days	Focus	Action	Target	Benefit
0-30	Cash	Implement strict 15-day payment terms for new clients. Negotiate 45-day credit from 2 major suppliers. Follow up on all outstanding invoices above ₹50,000.	Reduce average debtor days by 15 days. Increase cash balance by ₹5 lakh.	Immediate liquidity for operations and GST/TDS payments. Reduced reliance on expensive short-term loans.
31-60	Profit	Analyse and renegotiate costs for top 3 expense categories. Discontinue 2 low-margin products/services. Launch a high-margin "premium" service package.	Improve gross margin by 5%. Reduce overhead costs by 10%.	Higher net profit for reinvestment. Stronger financial health to attract better credit terms.
61-90	Growth	Use improved cash and profits to fund a targeted marketing campaign for the new premium service. Formalise a monthly financial review process.	Acquire 3 new premium clients. Create a 12-month cash flow forecast.	Sustainable, profitable growth. Proactive financial management to avoid future cash crunches.